

AS level economics

Chp:- Demand and Supply

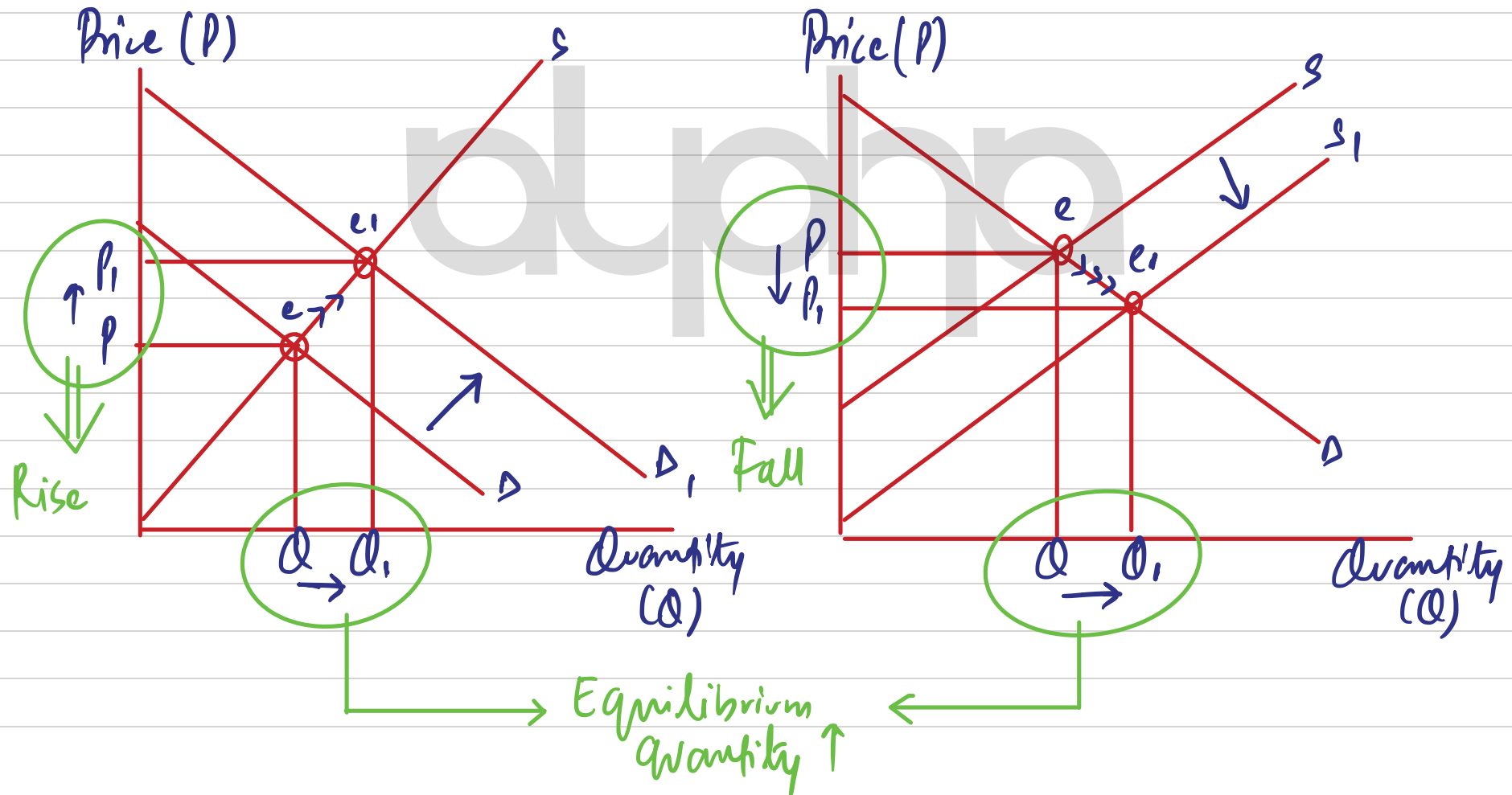
Topic :- Dual changes in market

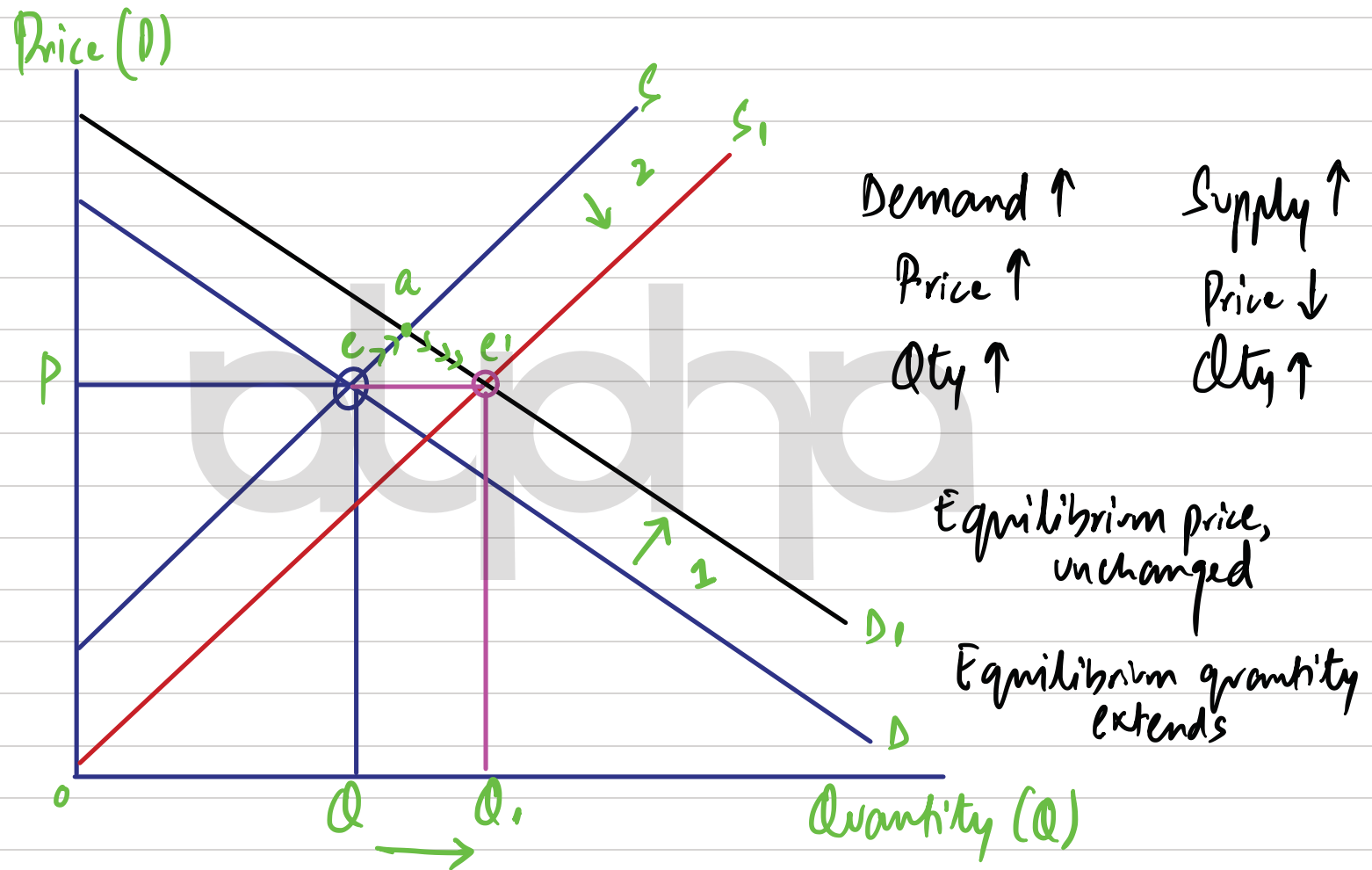
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## Changes in demand and Supply together

Case #1 :- Income  $\uparrow$  (Demand  $\uparrow$ ) and Subsidy (Supply  $\uparrow$ )

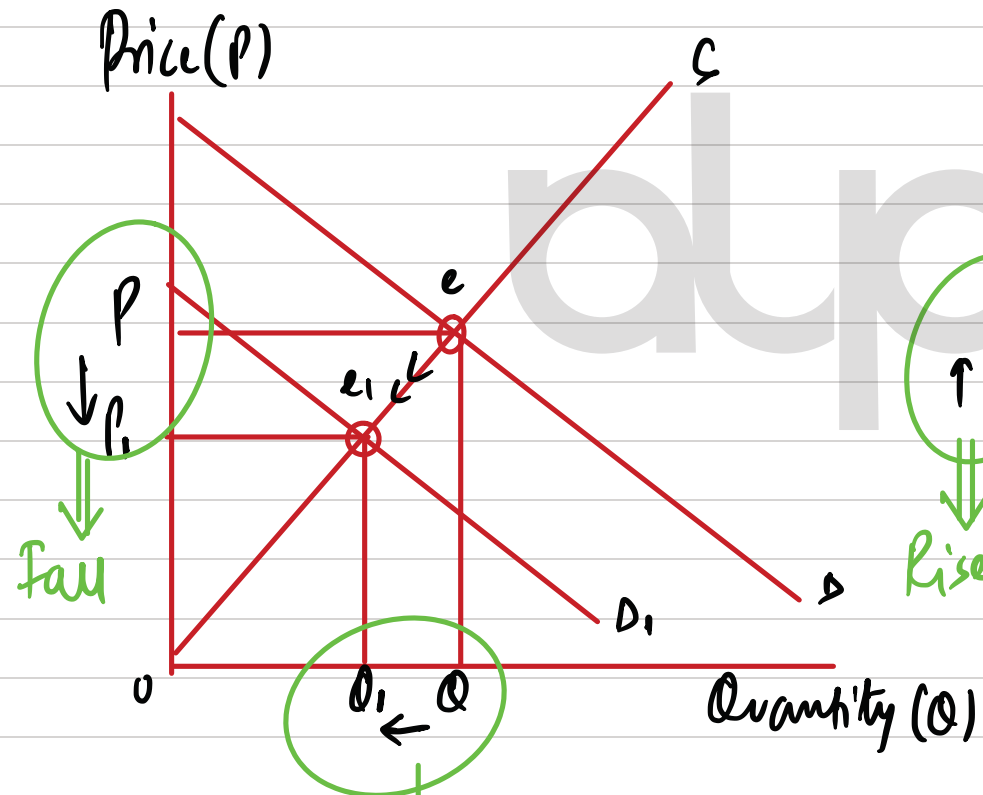
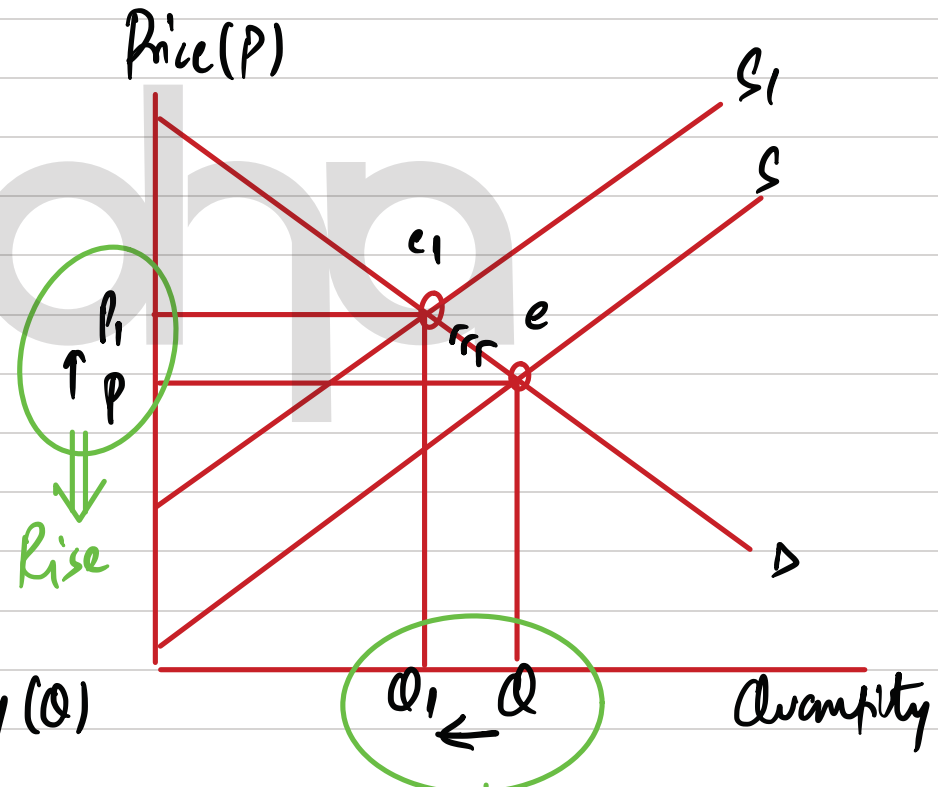




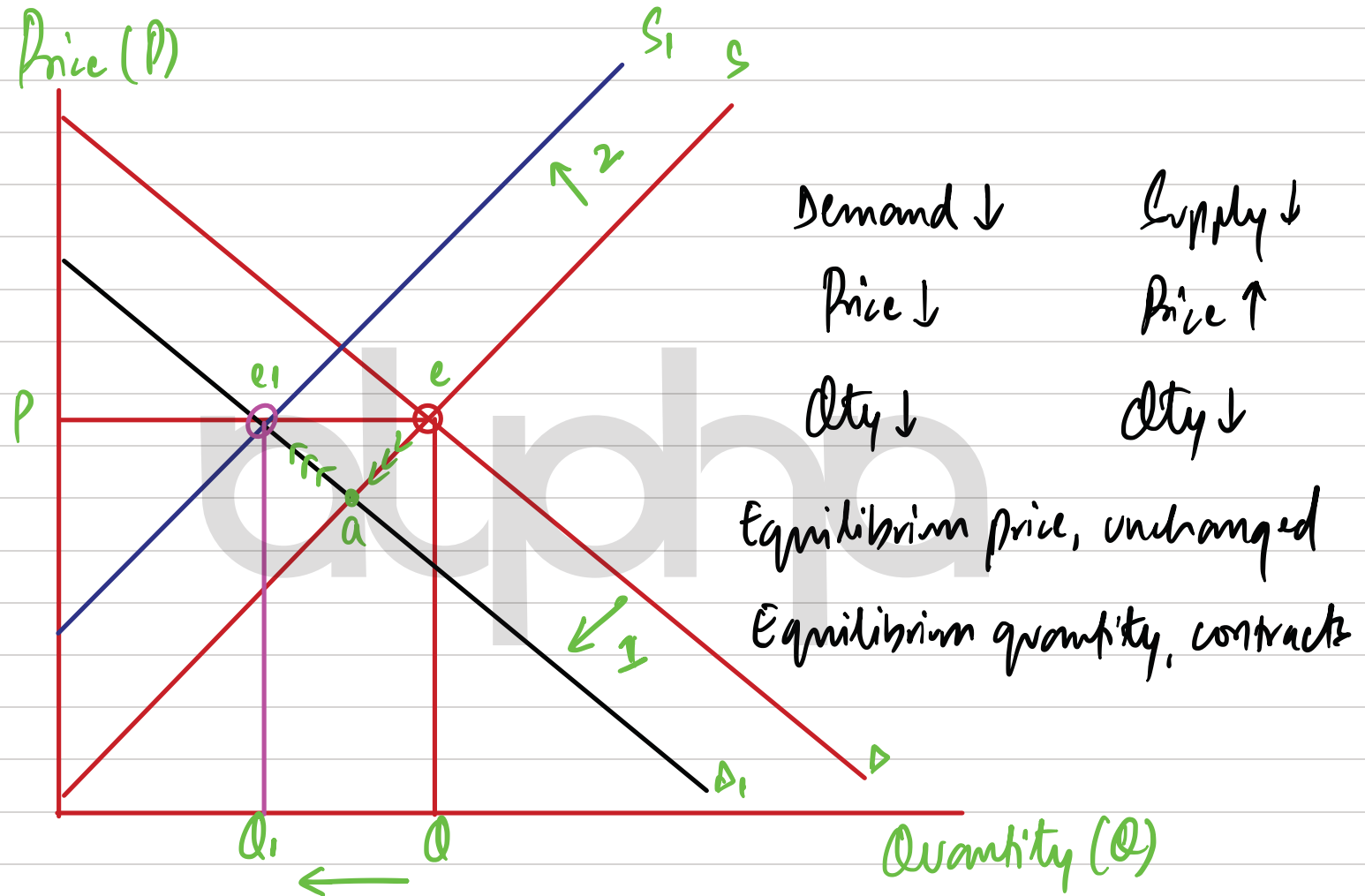
Explain the diagram :-

An increase in demand from  $D$  to  $D_1$  will increase the equilibrium price and extend equilibrium quantity. Along with that an increase in supply from  $S$  to  $S_1$  will reduce equilibrium price and extend equilibrium quantity.

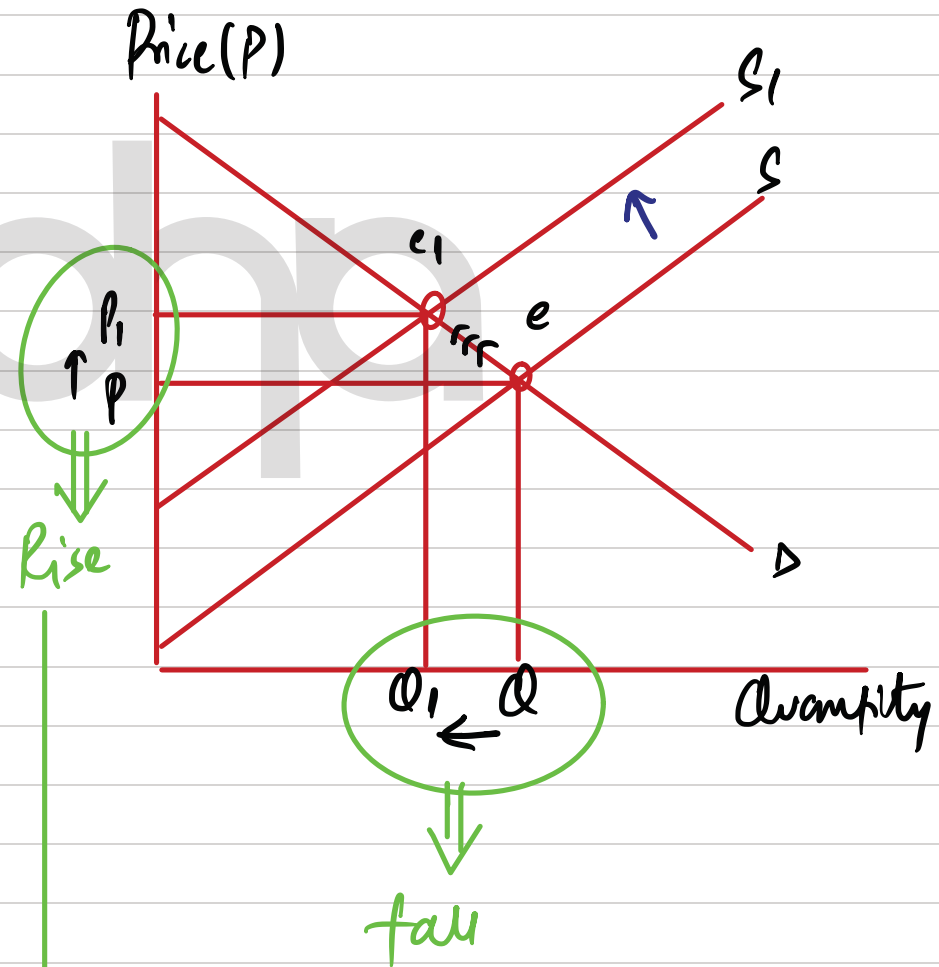
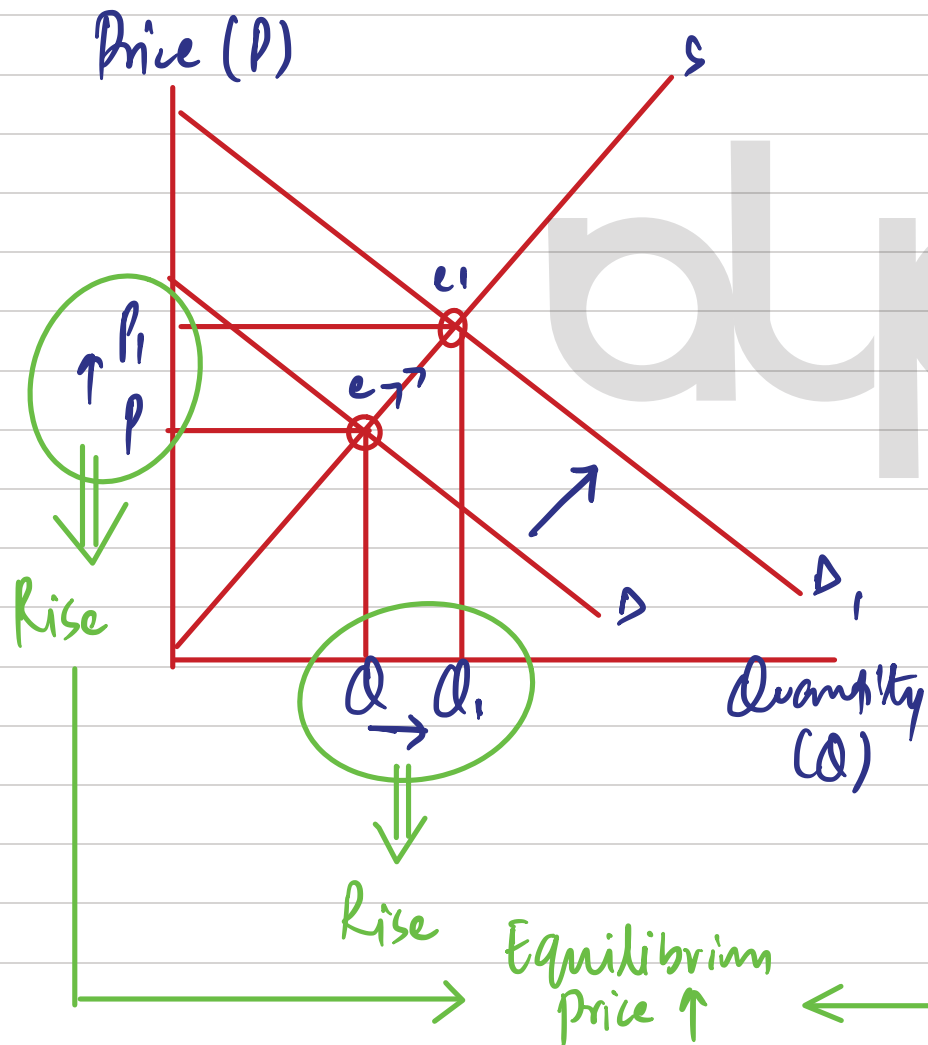
Since both actions are taking place at one time, a rise in price by one action and a fall in price by other action will leave equilibrium price unchanged, but since both actions extend the quantity, therefore there will be extension in equilibrium quantity traded.

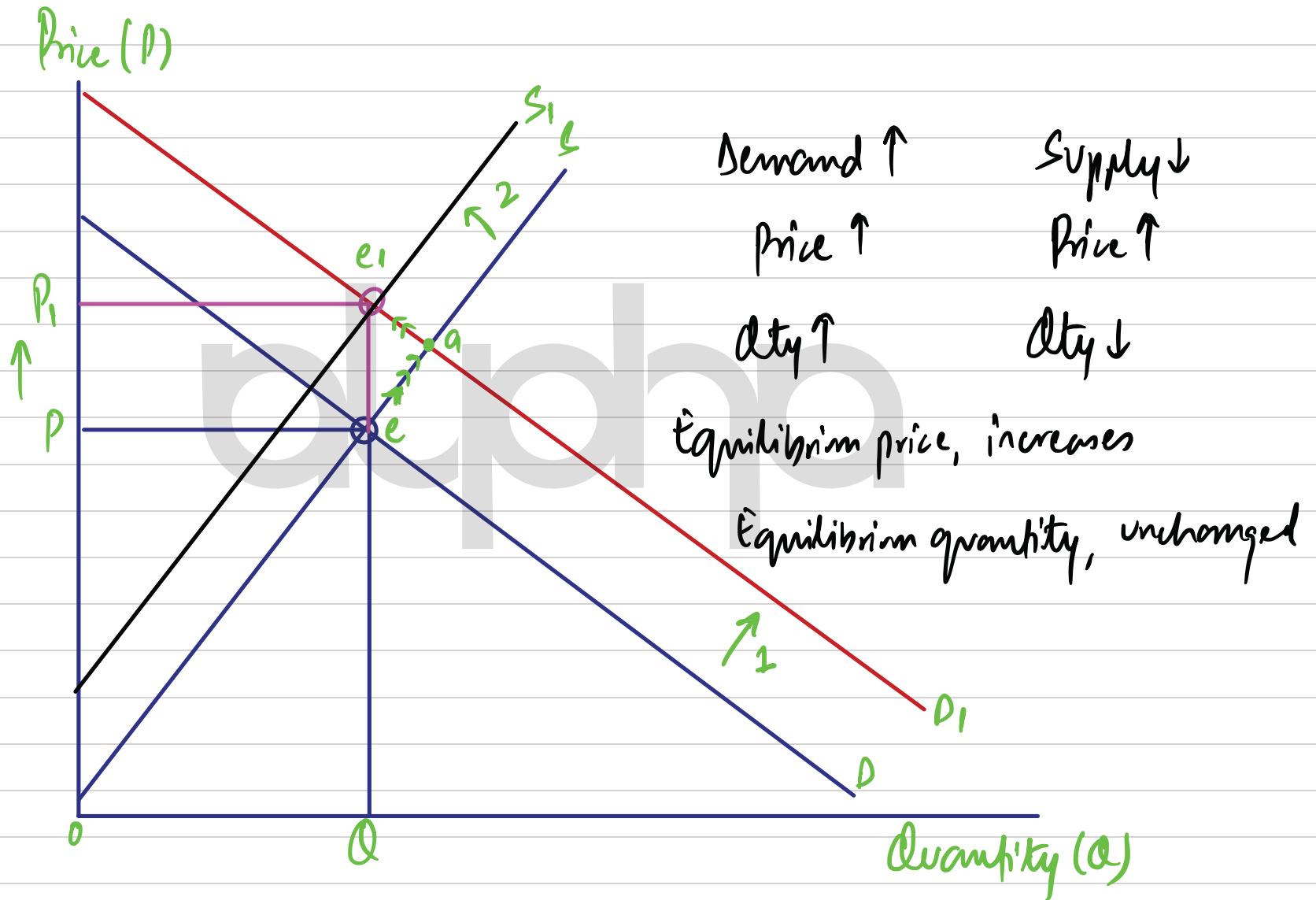
Case #2Income  $\downarrow$  (Demand  $\downarrow$ )Indirect tax (Supply  $\downarrow$ )

Equilibrium  
Quantity  $\downarrow$



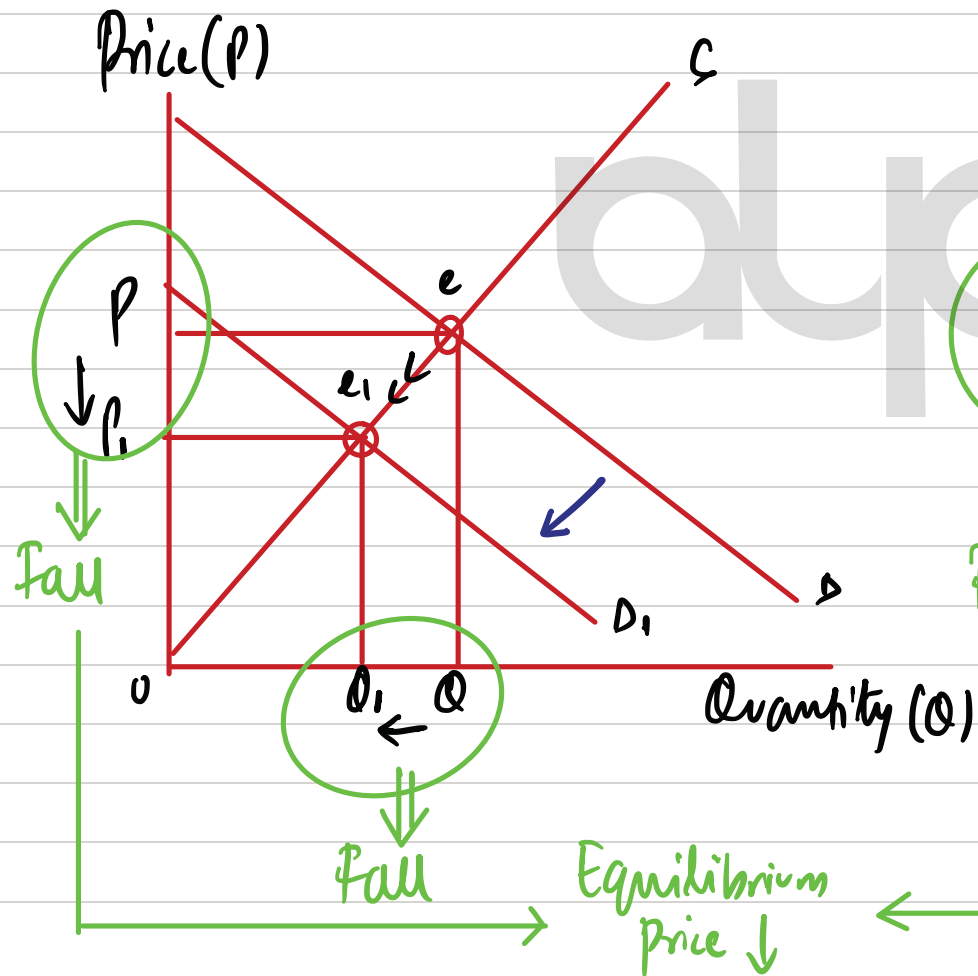
Case #3

Income  $\uparrow$  (Demand  $\uparrow$ )Indirect tax (Supply  $\downarrow$ )

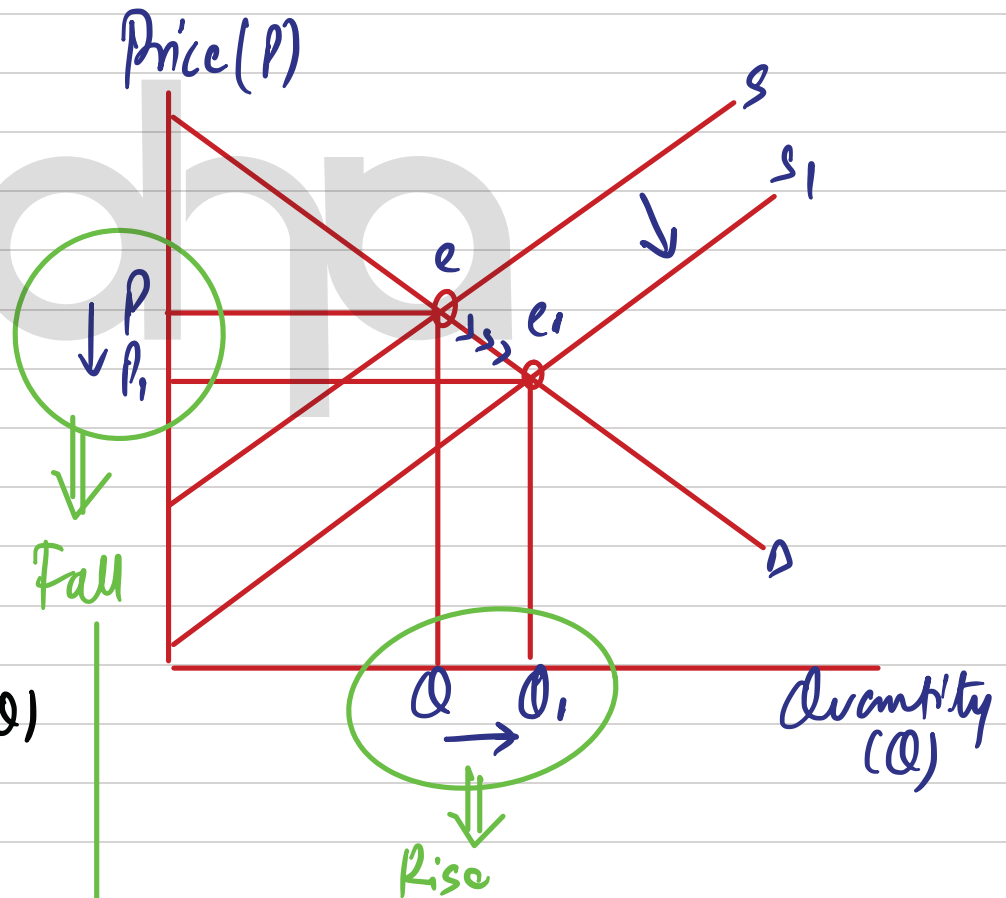


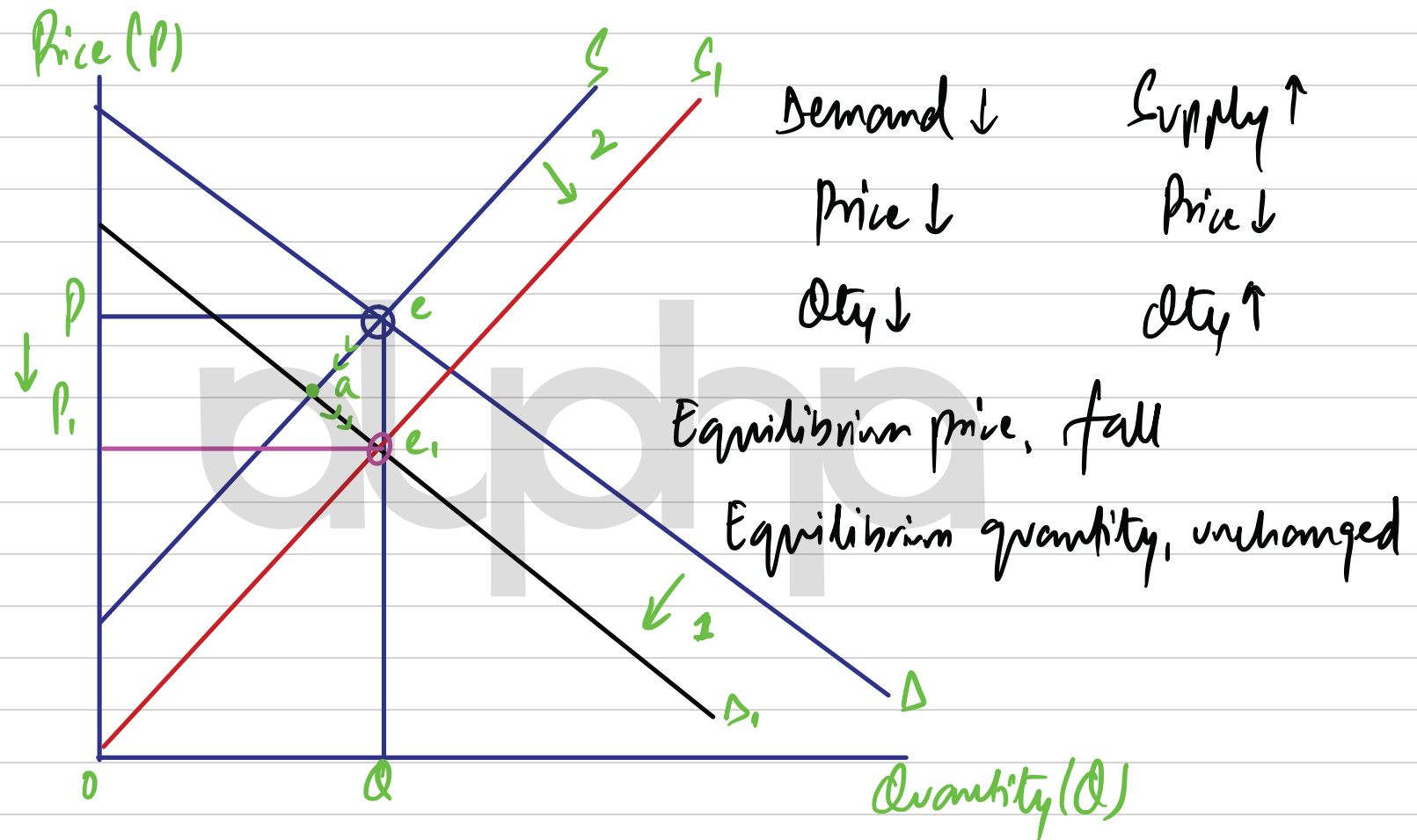
Case #4:-

Income  $\downarrow$  (Demand  $\downarrow$ )



Subsidy (Supply  $\uparrow$ )





## Questions

Q1 Draw the diagrams accurately ?

alpha